



FINANCING GUIDE / 07

Business Term Loans & Lines of Credit

A practical guide to fixed-term business financing and revolving access to capital.

A business term loan generally provides a defined amount of capital repaid over an agreed schedule. A true business line of credit is designed to provide revolving access, allowing the borrower to draw eligible funds, repay principal, and reuse available capacity subject to the facility terms.

Both products can support working capital and growth, but the underwriting, repayment structure, documentation, and cost can differ significantly by lender.

Common use cases

- Growth and expansion
- Inventory and purchasing
- Recurring working-capital needs
- Marketing and hiring
- Large contracts or project costs
- Refinancing eligible short-term obligations

HOW LENDERS LOOK AT IT

What typically drives the financing decision

Business history

Operating history and revenue stability help lenders assess the durability of repayment capacity.

Credit

Personal and business credit can affect eligibility, amount, pricing, and whether the request fits a bank-like or alternative program.

Cash flow

Revenue, deposits, profit, existing debt, and debt-service capacity are important to both term and revolving products.

Requested structure

The lender considers whether the use is better served by one fixed advance or recurring access to capital.

PREPARING YOUR REQUEST

What to have ready

Requirements vary by program, but a complete and organized package helps FLS identify the right path and reduces unnecessary back-and-forth.

Initial

Application, recent bank statements, business/entity information, and use of funds.

Financial

P&L;, balance sheet, tax returns, debt schedule, or other financials for larger or more traditional requests.

Existing debt

Current balances, payment obligations, and payoff information when refinancing is involved.

PROCESS

From request to funding

1 Identify the need

Determine whether the need is one-time or recurring.

2 Review the request

Review amount, revenue, credit, business history, and existing debt.

3 Compare structures

Compare term-loan and revolving-line structures.

4 Underwrite

Complete lender underwriting and any required financial review.

5 Review terms

Review approved amount, draw rules, repayment, fees, and prepayment provisions before closing.

WHAT CAN STRENGTHEN THE REQUEST?

Consistent revenue, established credit, manageable leverage, clean bank activity, strong profitability/cash flow, and a clear use of proceeds can expand available options.

Find the right business term loans & lines of credit path

FLS Capital Advisors works across multiple financing sources rather than forcing every request into one program. Answer a few questions about your business and financing objective, and a specialist will review the paths that may fit.

flscapitaladvisors.com/start Talk with a specialist: flscapitaladvisors.com/contact

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